

OCCL Ltd

Concall-Tracker report · Screener ticker OCCLLTD (NSE: OCCLLTD, BSE: 544278) · 6 earnings-call transcripts read (Q2 FY25 → Q3 FY26) plus two web-filled quarters · prepared 31 Aug 2026

Read this first — which company this is. There are two similarly named listed entities and they are easy to confuse. **OCCL Ltd (ticker OCCLLTD)** — this report — is the *insoluble sulphur manufacturer*. It was created when Oriental Carbon & Chemicals Ltd demerged its chemical business into it (scheme effective 01 Jul 2024; shares listed 29 Oct 2024). The old parent still trades under the Screener ticker **OCCL** but has been renamed **AG Ventures Ltd** and is now only an investment-and-trading company with ~₹26 cr of revenue. Pulling "OCCL" from Screener gives you the wrong company.

1. Snapshot

What the business does (one line): OCCL makes **insoluble sulphur** — a chemical that tyre makers must add to rubber to harden it (a process called vulcanisation) so tyres last longer — and **sulphuric acid** as a second product. In plain terms: it sells an essential ingredient to tyre companies, it is the only exporter of this chemical from India, and it competes mainly against Chinese and Japanese imports.

Figure	Value	Plain-English read
Market capitalisation	₹788 cr (price ₹159)	What the whole company is worth on the stock market today. The share has ranged ₹75–184 over the past year — it has more than doubled off the low.
Price-to-earnings	10.3x; dividend yield 1.76%	The share costs about 10 times the last year's profit and pays a real dividend — a modest rating for a company whose profits have just tripled.
Q1 FY27 revenue (Jun'26 qtr)	₹219.7 cr, up 78.5% YoY	Sales in the June 2026 quarter were nearly double the same quarter last year (₹123 cr) and 48% above the March quarter — by far the biggest quarter since the demerger.
Q1 FY27 operating profit (EBITDA)	₹62 cr, margin ~28%	Operating profit before interest, tax and depreciation. The margin jumped from ~16–17%, where it had sat for seven straight quarters, to 28% — a step-change, not a drift.
Q1 FY27 net profit (PAT)	₹40.3 cr, up 206% YoY	Profit after tax tripled. Earnings per share ₹8.06 for the quarter versus ₹2.63 a year ago.
FY26 (first full year)	₹506 cr revenue, ₹48 cr profit	The first complete year as a standalone company. FY25 was a part-year (₹307 cr) because the demerger only took effect in July 2024, so the two are not directly comparable.
Trailing 12-month	₹602 cr revenue, ₹75 cr profit	The last four quarters. Profit over the trailing year is already 56% above the whole of FY26 — the improvement is recent and steep.
Return on capital (ROCE)	13.0%; ROE 12.2%	For every ₹100 of capital the business earns about ₹13 a year before tax. Respectable but not exceptional — and these figures still reflect the depressed FY26, not the latest quarter.
Debt	~₹56 cr total (FY25), of which ₹34 cr long-term	Modest borrowing. Management said the long-term portion would be repaid over two years in the normal course — no refinancing risk.

Working capital	Inventory 139 days (from 188); cash cycle 160 days (from 192)	Cash is tied up for a long time in this business, but noticeably less than a year earlier — a genuine improvement, though still heavy.
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2. Concall coverage

Six consecutive earnings-call transcripts were read, oldest to newest. The company only came into existence as a listed entity in October 2024, so **this is its entire public history** — there is no longer record to read.

Quarter	Call date	Revenue / EBITDA margin	Read?
Q2 & H1 FY25 (Sep 2024)	22 Nov 2024	₹104 cr · 18.5%	Yes — transcript
Q3 & 9M FY25 (Dec 2024)	12 Feb 2025	₹97 cr · 16.6%	Yes — transcript
Q4 & FY25 (Mar 2025)	28 May 2025	₹107 cr · ~17%	Yes — transcript
Q1 FY26 (Jun 2025)	31 Jul 2025	₹123 cr · ~21%	Yes — transcript
Q2 & H1 FY26 (Sep 2025)	03 Nov 2025	₹120 cr · ~16%	Yes — transcript
Q3 & 9M FY26 (Dec 2025)	05 Feb 2026	₹114.6 cr · 17.6%	Yes — transcript
Q4 & FY26 (Mar 2026)	21 May 2026	₹149 cr · 16.3%	Web-filled — no transcript published
Q1 FY27 (Jun 2026)	30 Jul 2026	₹219.7 cr · ~28%	Web-filled — no transcript published

Span: eight quarters, two years — the company's whole life. **Important gap:** OCCL has published transcripts only up to Q3 FY26 (Feb 2026). Neither Screener nor the company's own investor-relations page carries a transcript for the Q4 FY26 or Q1 FY27 calls, so those two quarters — including the decisive one — are built from the company's results filings and published coverage, not from management's own words. Where this report attributes a *cause* to the Q1 FY27 jump, that attribution is inference from the prior six calls plus market data, and is labelled as such.

2b. Latest update highlights — Q1 FY27 (results 30 Jul 2026) ★

- **A step-change quarter:** revenue **₹219.7 cr, up 78.5% YoY**; profit **₹40.3 cr, up 206%**; earnings per share ₹8.06 versus ₹2.63. For context, the company had done ₹97–149 cr a quarter for its entire prior existence.
- **The margin broke out of its range:** operating margin **~28%**, against 16–18% in every one of the previous seven quarters. This single quarter's operating profit (₹62 cr) is roughly 70% of what the whole of FY26 produced (₹90 cr).
- **The likely causes, in order (inference — no transcript):** (1) the **anti-dumping duty** on Chinese and Japanese insoluble sulphur, imposed mid-2025, was being passed into prices in stages and by now should be fully in; (2) the **US tariff on Indian goods was cut from 50% to 18%**, which management had said in Feb 2026 was worth "a couple of hundred basis points of EBITDA"; (3) **Indian sulphuric acid prices rose sharply** (industry data points to a ~32% rise), and sulphuric acid margins were the explicit reason given for the last EBITDA jump, in Q1 FY26.
- **Preceding quarter also strong:** Q4 FY26 revenue ₹149 cr with profit ₹19.3 cr, **up 123% YoY**, and the board declared a final dividend of ₹1.80 per ₹2 share (90%). FY26 closed at ₹508 cr total income and ₹47.7 cr profit.
- **What has not changed:** insoluble sulphur capacity is still only ~70–75% utilised, and the phase-2 expansion remains deliberately deferred. So this profit surge came from *price and mix*, not from selling more tonnes — which is both the reassuring part (no capital was needed) and the fragile part (price gains can reverse).

2c. Business mix & capacity (quick facts)

Domestic vs export: roughly **45–50% domestic / 50–55% exports** (management's own split, Q2 FY26).

Europe is the largest export market; the United States is a meaningful but much smaller share — management explicitly corrected an analyst who suggested America was 40% of revenue. Plain read: about half the business is sold abroad, so freight rates, tariffs and the rupee matter as much as Indian tyre demand.

Market position: ~9% of the global insoluble sulphur market and ~55% of the Indian market, which management wants to take to 60–65%. Imports still supply 40–45% of Indian consumption — that gap is the domestic growth runway. OCCL is the **only exporter of insoluble sulphur from India**.

Capacity utilisation: insoluble sulphur capacity **39,500 MTPA running at ~70–75%** (management quoted 75–80% on an annualised basis); sulphuric acid **88,000 MTPA running at 100%**. Plain read: there is roughly a quarter of spare capacity in the main product, so volumes can grow meaningfully before a rupee of new investment is needed. A phase-2 expansion of 5,500 MTPA is designed and has land earmarked at Dharuhera, but management has said repeatedly it will only be built once utilisation crosses **90–95%**. Two plants: Dharuhera (Haryana) and Mundra SEZ (Gujarat). Industry-wide, global capacity ~357,000 tonnes against demand of ~275,000–300,000 tonnes — the sector is still oversupplied, which caps pricing power.

3. Earning Trigger thesis ★

The driver is unusually specific and, unusually, it is a **policy event that management themselves went out and caused: an anti-dumping duty on insoluble sulphur imported from China and Japan**. The logic is simple. Imports supply 40–45% of India's insoluble sulphur, they were being sold below cost, and OCCL — with a quarter of its capacity idle — could not raise prices against them. In November 2024 OCCL filed with the DGTR (the Indian trade-remedy authority); in May 2025 the DGTR cleared it; the duty was imposed in mid-2025; and management then spent three quarters passing it into prices. Layered on top are two more recent tailwinds: the US tariff on Indian exports falling from 50% to 18%, and a sharp rise in sulphuric acid prices. The result is visible in Q1 FY27 — revenue up 78% and margin up twelve percentage points *without adding capacity*. The genuine question now is not whether the trigger fired, but **how much of it is permanent**: a duty and a domestic market-share shift are durable; a commodity price spike is not.

Trigger	What management said	Evidence so far	Horizon	Strength
Anti-dumping duty on China / Japan imports	Filed with DGTR (Nov 2024); "hopeful of imposition in June" (May 2025); would pass benefits through over following quarters	Fully delivered. Cleared by DGTR, imposed mid-2025, and domestic realisations improved through FY26 into the Q1 FY27 breakout	Live, multi-year	Strong
Domestic market-share gain	~55% share today, targeting 60–65%; "aggressively looking at increasing our share in the domestic market"	Directionally confirmed — but no share figure has been published since; imports were still 40–45% of the market as of late FY26	FY27–FY29	Moderate
Idle capacity = free growth	Insoluble sulphur at ~70–75% utilisation; expansion only above 90–95%	Held to consistently. ~25% headroom means volume growth needs no capital, but it also means the Q1 FY27 surge was <i>not</i> volume-driven	Structural	Strong
Sulphuric acid margins	Named as the explicit cause of the Q1 FY26 EBITDA jump (+36%)	Plant runs at 100% utilisation; Indian sulphuric acid prices rose sharply in the June 2026	Cyclical	Volatile

		quarter — likely a large part of the margin breakout		
US tariff relief	50% tariff "impacted our margins"; after the cut, worth "at least a couple of hundred basis points of EBITDA"	Tariff reduced 50% → 18% (disclosed Feb 2026); export strategy to America restarted	Now	Moderate
Indian tyre-industry growth	Indian tyre industry to grow 7–8% in FY26; ₹7,000 cr+ of tyre-industry capex; global IS market growing only 2–3%	Structural and independently corroborated — India is the fastest-growing market in a slow global industry	Multi-year	Strong
Round-two trade action	"Evaluating further actions against countries not covered in round one, and those that have since cut prices"	Nothing filed or disclosed since Jul 2025 — an option, not a plan	Uncertain	Unproven
Global oversupply (headwind)	Global capacity ~357,000 t vs demand ~275,000–300,000 t; "pressure on pricing expected to continue until utilisation normalises"	Still true. Management's own view is this takes years to correct at 2–3% demand growth	Multi-year	Caps upside

4. Management Consistency scorecard

Period	What was promised	What actually happened	Verdict
Q2 FY25 (Nov'24)	Application filed with DGTR for anti-dumping duty on Chinese and Japanese imports	Pursued without let-up across four consecutive calls	Delivered
Q4 FY25 (May'25)	Duty cleared by DGTR, with the Finance Ministry; "hopeful of imposition in the month of June"	Imposed on schedule — confirmed on the very next call	Delivered
Q1 FY26 (Jul'25)	Some duty benefit passed to customers already, "balance in the upcoming quarters"	Took longer than the phrase implied — Q2 FY26 margins were <i>muted</i> by raw-material costs — but the pass-through did arrive, visibly by Q1 FY27	Partly, then delivered
Q3 FY25 onward	No expansion until utilisation reaches 90–95%; phase-2 land earmarked but deferred	Held to for six straight calls; no capital spent chasing a weak market	Delivered
Q1 FY26 (Jul'25)	₹34 cr long-term debt to be repaid over two years in the normal course	Debt remains modest; no refinancing or fresh borrowing announced	On track
Q2 FY26 (Nov'25)	US 50% tariff hit margins but "we hope is temporary"; margins "should come back" once resolved	Tariff cut to 18%; margins did come back — and then some, at 28% in Q1 FY27	Delivered
Throughout			Honest & accurate

	Global market grows only 2–3%; oversupply keeps pricing under pressure for 1–2 years	Stated plainly and repeatedly, including when it was unflattering. It has proved accurate	
Q1 FY26 (Jul'25)	"Evaluating further actions" against countries outside round one of the anti-dumping case	Nothing disclosed in the four quarters since	Dropped / silent
Q4 FY26 & Q1 FY27	—	No earnings-call transcript published for either quarter , including the one with the 78% revenue jump	Disclosure gap

Narrative drift: There is essentially none — but note the record is short. Across six calls the same four themes recur without variation: win the anti-dumping case, take domestic share from imports, keep the plant efficient rather than build new capacity, and wait out global oversupply. Management's most attractive habit is that they **under-claimed**. They repeatedly refused to give revenue or margin guidance ("that is the only guidance I can give as of now"), volunteered the bad news themselves — doubled freight rates, all-time-high sulphur prices, the 50% US tariff, muted pass-through — and corrected an analyst who *overstated* their US exposure rather than letting a flattering error stand. On the one big, checkable, multi-quarter promise — the anti-dumping duty — they said what they would do, did it, and it worked. Two blemishes: the promised "round two" of trade action has gone quiet for four quarters, and, more materially, **the company has stopped publishing transcripts**. The Q4 FY26 and Q1 FY27 calls have no transcript on Screener or the company's own IR page, which means the best quarter in its history came with the least disclosure. For a company barely two years old and still building a track record, that is a step backwards and the single thing most worth watching next quarter.

5. Bottom line — two verdicts

Durable earning trigger? → YES

This is a rare case where the trigger was a specific, dated, verifiable event rather than a vague growth story — and it has already fired. Management identified the problem (dumped Chinese and Japanese imports holding down prices in a market where imports are 40–45% of consumption), filed the trade case in November 2024, won it, saw the duty imposed in mid-2025, and by the June 2026 quarter revenue was up 78% and operating margin had gone from 16% to 28% *with no new capacity*. Behind it sit three durable supports: a structurally growing Indian tyre industry (7–8% a year against a 2–3% global market), roughly 25% of idle capacity so growth needs no capital, and a stated path from 55% to 60–65% domestic market share with imports still there to displace. The honest qualification — and it is a real one — is that an unknown share of the Q1 FY27 margin came from a spike in sulphuric acid prices, which is a commodity swing that will reverse, and the global industry remains oversupplied by management's own numbers. So the trigger is a clear Yes, but the *28% margin* should not be assumed as the new base until a second quarter confirms it.

Management consistent? → YES

On promised-versus-delivered the record is clean. The one large, multi-quarter, falsifiable commitment they made — win the anti-dumping duty and pass it into prices — they pursued across four calls, delivered on schedule, and it has now produced exactly the earnings effect implied. They also kept their capital discipline promise, refusing for six straight quarters to build phase-2 into a weak market, and their debt statements have held. Just as telling is the tone: they consistently declined to give guidance they could not stand behind, volunteered every headwind before being asked (freight, sulphur costs, the US tariff, slower-than-implied pass-through), and corrected an analyst who overstated their American exposure in their favour. That is not the behaviour of a promotional management. Two things stop this being an emphatic Yes rather than a plain one. First, the track record is only **two years long** — the company did not exist as a listed entity before October 2024, so there simply are not many multi-year promises to grade. Second, and more concerning, **they have not published transcripts for their last two calls**, including the

quarter that tripled profit. Nothing so far suggests bad faith, but a two-year-old company that goes quiet exactly when the numbers get interesting is one to re-check, not to relax about.

Prepared from six OCCL Ltd earnings-call transcripts, Q2 FY25 (22 Nov 2024) through Q3 FY26 (05 Feb 2026), sourced from Screener.in; the Q4 FY26 and Q1 FY27 quarters are reconstructed from the company's results filings and published coverage because no transcript has been released for either. Financial data from Screener.in (ticker OCCLLTD). Sulphuric acid price commentary from published industry pricing data.

This is not investment advice. Do your own due diligence.